DEBT MANAGEMENT

Someone else money

Capacity to borrow

Borrowing with a purpose

Cost of borrowing (no free money) – Hustler fund

Debt portfolio, Financial vulnerability & Financial Stability

Debt cycle – break the chain of unnecessary debts

Debt is a monster – it eats all income if uncontrolled

Grace Period, Delinquency, Deferment, Forbearance and Cancelation

Prepared by Sylvester

Lesson Outcome

By the end of the learning session, learners will be able to:

- Defined debt
- Explore the responsibilities of the borrower
- Distinguish between own capital and loan capital
- Identify costs & risks of borrowing
- Calculate amount of loan one can afford
- Compare bad loans and good loans
- Evaluate borrowing choices and sources
- Interpret debt to income ratio
- Assess the dangers of over indebtedness
- Explore the dangers of defaulting on a debt
- Defend the unavoidable reasons to borrow money

My money and Someone else's money

There is a difference between my money and someone else' in the sense that:

- My money of free but someone else money is costly
- Someone else money comes with obligation of repayment with interests or at times membership registration
- I am free to use my money while someone else money must be used for the intended purpose
- Someone else money my be large sums than my money
- Someone else money may come quickly in lump sum than I could have saved my money

NB: Someone else money is what we refer to as a debt or loan

Challenge

Do you currently have a loan?

Why did you borrow (emergency, consumption, “outing” or investment)?

What was the source of the loan (person or institution)?

How much interest (interest rate) is being charged on the loan?

What is the repayment period (after week, day, month or year(s)?

Do you find it difficult repaying the loan?

Does the loan reduce the income earned to unbearable levels?

Were you aware/read all Terms & Conditions of the loan?

Did the loan require any collateral? (secured vs unsecured loan)

Standard Newspaper on 23rd October 2024 in an article by Macharia Kamau titled: *CRB listings nearly doubles as State drive backfires*, stated that “The number of borrowers blacklisted by different lenders, mostly digital lending platforms run by commercial banks and mobile digital loan apps, has risen by a staggering 3.85 million... A new report on credit trends in the country by Transunion Africa, a credit reference bureau, shows that the number of Kenyans adversely listed by different CRBs stood at 7.74 million over the first quarter of this year 2024. This was a 99.2 per cent increase from 3.89 million borrowers who had been listed as defaulters over a similar quarter in 2023… a possible indicator that borrowers may have been unable to sustain repayments”

Definition of debt

A loan is money that is borrowed and must be paid back, usually with interest and other associated costs such as loan processing costs, insurance fees, excise duty etc.

Unless a debt is forgiven by the lender, it must be paid back, typically with added interest.

Debt can be secured or unsecured, with a fixed end date or revolving

Here, we are focusing on personal loans in which two parties are involved, that is the lender and the borrower

The lender and the borrower

The lender

This is the person or entity that lends a certain amount of money on credit to an applicant, who is the borrower,

The borrower

The person who must repay the amount borrowed, plus the interest agreed upon in the contract, within a predetermined time frame

The lender provides the credit and the borrower receiving it, always under established conditions which the lender must accept. The terms and conditions contains the responsibility of the lender and the borrower.

Obligations of the borrower

The responsibilities of the borrower includes:

- ❖Pay the established fees in full and in time.
- ❖Pay any commissions, interest, penalties, or additional charges that the loan entails.
- ❖Provide information about your financial situation and tax data to the lender (if requested).
- ❖Understand the Terms & Conditions of the loan
- ❖Understand the character of your lender
- ❖Notify the lender in case of estimated default to repay the loan
- ❖Notify the lender of changes in your contact details e.g. telephone

Determining the need for a loan

If you mention loan to an ordinary person, they develop a phobia. However loan is justifiably needed because:

Debts for individuals

- ❖Some developments like home ownership are easy by loan than saving
- ❖Loan may be taken to repay another loan if cash flows aren't available

Debt financing of the business

- ❖Working capital loan - To purchase business stock, finance contracts.
- ❖Meet business running costs e.g. operating expenses.
- ❖Business expansion - To purchase business assets e.g. motor vehicles, buildings, machinery & equipment.

Sources of debt funding

Source	Link	Cost	Terms	Advantage	Disadvantage
Friends & Family	Natural persons	Low cost	Very flexible	Flexible	Limited amount Prone to disagreements
Shylocks (unregulated)	(*see separate pdf document*)	24 -144% per annum	1month – 1 year	Not much restrictions	Expensive, Debt cycle trap, Shames clients, Collateral
Black market (unregulated)	Operate underworld	20-120% per annum	1week – 1year	Attractive	Illegal, Highly risky
Digital Credit Providers (DCPs)	Regulated DCP	12% - 120% per annum (pa)	1 month -	Easily available	Expensive, Debt cycle trap
Suppliers	Merchandize	vary	30 days	Business continuity	Legal battles for default
Hustler Fund	Hustler	8% pa	2 weeks	No collateral	High temptations to default
Mshwari	NCBA-MPSEA	108% pa	1 month	No collateral	Expensive, Debt cycle trap
Fuliza	KCB-NCBA_MPESA	13% pa	1 month	Cheap	Debt cycle trap
SACCOs	Lisenced DT	13-18% pa	1year – 8 years	Huge amount	Guarantor, Contributions
Banks	KBA	16- 26% pa	1year – 8 years	Huge amount	Guarantor, Collateral
Mobile-Bank	Via MPESA	108% pa	1- 3 months	Minimal requirements	Expensive, Debt cycle trap
Government	HELB	4% pa	More than 1yr	Very cheap	Long period of repayment

Factors to consider when taking loan

- Type of loan product - short/long term
- Repayment terms - Monthly, daily, bullet terms
- Cost of borrowing - Interest rate, loan processing fees → effective interest cost
- Legal fees, admin fee, insurance fees - consider total cost of credit → effective interest cost
- When you will actually get the money in your hands (will it be before you need it?)
- Loan repayment period - Will it achieve desired objectives within the loan tenor
- Security/collateral needed - Secured , unsecured, partially secured, hybrid
- That the asset you are buying with the loan will outlive the loan, and continue earning income for you even after finishing repaying the loan
- Ability to repay - Should be paid by business cash flows & not from external sources
- Amount to borrow - Not underfinanced or over-financed
- Existing debts - Debt ratio should not be above 70% of net income
- Purpose of borrowing - Must you borrow? Where will the cash be applied?
- State of the economy – the likelihood of defaulting

Note: Do not borrow as an emergency - Have a plan and a strategy before taking loan and analyze your repayment. (*according to William N Kinai – Novatus Ltd)*

Loan purpose by the type of loan

Loan Purpose	Type of loan facility
Restock/Operations	Overdraft
Emergency/Business expansion	Overdraft, e-credit
Travel, Shopping	Credit cards
Moveable asset acquisition- equipment	Asset finance, leasing
Property/asset acquisition	Mortgage loan
Bridging finance/Imports & expansion	Invoice discounting, Contract financing, LPO financing
Importation	Letters of credit
Household purchase	Salary advance
Masters Education	HELB loan

Cost of borrowing

There is no free loan. Cost of borrowing is the fee, interest, Tax (excise duty) & other charges on a loan. However, people have failed to understand the real cost of a loan. Many think interest is the only cost! There're other charges beyond interest which lenders rarely disclose in their websites or channels. Let us take a look at the following example of popular loans:

Lender	Known interest	Loan amount confirmed Amount = Principle + Cost of borrowing	Interest and other "Hidden charges"	Total Cost of borrowing		Net loan received
				Amount	% of loan	
Fuliza (by NCBA-KCB through MPESA) https://ke.ncbagroup.com/fuliza-m-pesa/	1% of the loan principle	SJ90IGE4B2 Confirmed. Fuliza M-PESA amount is Ksh 30. Interest charged is Ksh0.30. Total Fuliza M-PESA outstanding amount is Ksh80.36 due on 19/11/24. To check daily charges, Dial *234*0# OK Select Query Charges 20-Oct-202 15:16:16	**None** but a maintenance fee on the outstanding balance as follows: 0 -100 One-time fee of Ksh 2 101-500 Kshs. 5 per day 501-1000 Kshs. 10 per day 1001-1500 Kshs. 20 per day 1501-2500 Kshs. 25 per day 2501-70000 Kshs. 30 per day	Sh.0.30 subject to outstanding balance	1%	Ksh.29.30
SC Juza by Standard Chartered Bank https://www.sc.com/ke/loans/sc-juza/	1.085% of the loan principle	Dear SYLVESTER, Your loan of KES 1000 has been processed. Your repayment of KES 1166.85 is due on 19-11-2024. To pay your loan, log into the SC Juza app and click MAKE PAYMENT.	Interest = 1.08% of 1000 = Ksh.10.08≈ $Ksh.0.00$ Processing fee = Ksh.55 Excise duty = 20% of 55 = Ksh.11 Transfer cost from SC Juza to Safaricom = Ksh.5	Sh.121.85	12.19%	Ksh.995
Mco-opcash by Cooperative Bank https://www.co-opbank.co.ke/ways_to_bank/mobile-banking-mco-opcash/	8% for 1 month loan, 10% for 2 months loan, and 12% for 3 months' loan that is deducted upfront	CoopBank: Dear SYLVESTER, Your loan of KES.65,000 has been approved and credited into your account 2547123314171. We have deducted fees & Excise duty of KES 9,426.30. Your first instalment of KES.21,668.00 is due on 19-11-2024. 20-Oct-202 15:16:16	Interest = 12% of 65,000 = Ksh.7,800 Insurance = 0.102% of 65,000 = Ksh.66.30 Excise duty = 20% of 7,800 = Ksh.1,560 Total of fee and excise duty = Ksh.9,426.30 Cost of transferring the loan from Bank to Mpesa Bank charge/fees = Sh.63 Excise duty = Ksh.7.50 Mpesa withdrawal charge = Ksh.309	Sh.9,805.8	15.09%	Ksh.55,194.2

Methods of paying debts

The methods require that you first rank the loan in terms of their magnitude of interest rates and amounts

1	Method	Avalanche Method	Snowball Method	HELOC Method (Home Equity Line of Credit)
2	**Meaning**	Pay the highest **interest** (most expensive) loan first then roll the amount to the next highest until you get to the smallest loan. As the cleared highest balance is rolled to the next, the amount reduces (avalanches) and loan burden is reduced further	Pay smallest minimum loans amounts first, and once cleared roll to the next minimum until you get to the largest minimum. As the cleared balance smallest loan is rolled to the next, the amount grows (snowballs) and the rate of debt payment is accelerated	This is a way to consolidate all loans and pay it using another loan (HELOC) taken against home equity (value of your home) if the interest on HELOC is lower than that of other loans
3	**Operation alization**	30% interest mortgage: Sh.1,000,000 17% rate bank loan: Sh.2,500,000 4% HELB loan: Sh.600,000 1% rate hustler fund: Sh.700,000 Here, the mortgage is as much is paid on mortgage loan first as you pay the minimum on other loans. Once the mortgage is cleared, you pay as much on bank loan as the minimum is paid on the remaining loans. These continues until all loans are cleared	Hustler fund: Sh.700 (min 50 p.m.) Mshwari loan: Sh.2000 (min 100 p.m.) Tala loan: Sh.3500 (min 200 p.m.) Equity bank: Sh.10000 (min 300 p.m.) Total monthly payment(p.m.) is Sh.650 If budget surplus is Sh.650 then, we add 650 to 50 to clear the Sh.700 loan. Subsequently, add 700 to 100 hence Sh.800 p.m. to clear 2000 loan. Next add 800 to 200 hence Sh.1000 p.m. to clear the 3500 loan. Finally the add 1000 to 300, there is 1300 p.m. to pay 10,000 till its cleared	Suppose you have a 18% mortgage, you may apply for a 12% HELOC to clear the home loan and be left repaying the HELOC which has low interest attached to it. This can also apply in the example under Avalanche method where you consolidate all the Sh.16,500,000 with average interest rate of 19% as per harmonic mean, where you clear them using a 10% HELOC loan and you are left servicing the cheaper loan
3	**Merits**	The debt burden is drawn down	It is simple as compared to Avalanche	Ensures liquidity
4	**Demerits**	Takes more time to clear large debts Requires so much financial discipline	Difficulty to commit more money from your earning as time goes	Has fluctuating interest which may be expensive in the long run. Home Equity Loan this will be the best alternative

Good loan & Bad loan

Debt that increases your net worth or has future value, is good debt e.g. mortgage, student loan e.g. HELB, small business loans

Debt that reduces your net worth or lack future value, is bad debt e.g. credit cards, loan for air conditioner, salary advance, car loan

S.N	Good loan	Bad loan
1	Are for developmental purposes e.g. tools	Are for consumption purposes e.g. parties
2	Generate income → cash inflows	Drains assets → cash outflow
3	Add assets to your business → improves quality & productivity	Diminishes business assets → *Monsters*
4	Reasonable costs of borrowing	Excessive cost of borrowing
5	Business can repay comfortably from cash inflows	Strains personal and business revenue
6	Budgeted for → planned	Have no budget → no plan
7	Cannot be attached to your property, just few	Can be attached to all your property

Over indebtedness

There is no standard definition of over-indebtedness. For instance In the UK, the focus has been put on being arrears in paying regular bills, over-indebtedness being defined as a situation “where households or individuals are in arrears on a structural basis, or at a significant risk of getting into arrears in a structural basis” (Fondeville, Őzdemir & Ward, 2010)

In Germany, it has been defined as a situation where household income ‘in spite of a reduction of the living standard, is insufficient to discharge all payment obligations over a long period of time” (Haas, 2006).

An over-indebted household is, accordingly, defined as one whose existing and foreseeable resources are insufficient to meet its financial commitments without lowering its living standards, which has both social and policy implications if this means reducing them below what is regarded as the minimum acceptable in the country concerned (Fondeville, Őzdemir & Ward, 2010)

Over-indebtedness can therefore be defined as a situation where individual’s income and resources are insufficient to cover the accumulated debts.

Types of Over-indebtedness

There are two types of over-indebtedness namely: passive and active

1. Passive overindebtedness - financial difficulties are determined by unexpected factors beyond an individual's control, such as job loss, separation, death or illness, changes in macroeconomic variables (for example, interest rate hikes) or higher taxation. These factors can eliminate or reduce an income source and/or determine unexpected liabilities.
2. Active overindebtedness is generated by excessive levels of debt held by households, following decisions to borrow up to a level that is unsustainable on the basis of present or future earnings. Such decisions may be due to: lack of information transparency or individuals' inability to process effectively information available and, as a result, to evaluate the consequences of indebtedness. It can also be due to consumption and life style behaviours which, either due to irresponsibility or short sightedness, lead an individual to non optimal consumption and indebtedness choices.

Individuals systematically underestimate the risk of not being able to meet their financial commitments. Also they overestimate the immediate benefits and undervalue the future costs; such behaviour leads to the decision to purchase, using debt if necessary, regardless of the effect this choice may have on the sustainability of future debt levels

(Anderloni & Vandone, 2010 in in "*Risk Tolerance in Financial Decision Making", Lucarelli C., Brighetti G. (eds), Palgrave MacMillan*)

Causes of over indebtedness

It is reasonable to believe that overindebtedness is more often than not the result of a combination of causes arising either from excessive levels of individual debt or unexpected events that make the debt contracted no longer sustainable

As per behavioral economics, over-indebtedness may be caused by individuals' irrational behaviour. Empirical analyses show that household debt demand seems less rational but more driven by emotional factors, such as:

- overconfidence,
- impulsivity in consumption attitudes,
- social comparison and myopia, that is the inability to perceive the long run consequences of today's debt decisions

Such behavioural factors may induce individuals to make "non rational" borrowing choices and this may lead them to hold a level of debt that is unsustainable in relation to their earnings. In turn, such a situation may cause over-indebtedness (Anderloni & Vandone, 2010 in in "*Risk Tolerance in Financial Decision Making", Lucarelli C., Brighetti G. (eds), Palgrave MacMillan*)

Dangers of over indebtedness

1. Financial exclusion:
   a) on supply side, banks or other financial institutions may fail to lend over-indebted individuals. With individuals faced with economic and financial weakness (low income, unstable job, poor financial management ability, family relationship problems and so on) they may shun away from banks and resort to institutions that offer credit on unfavourable terms like high interest rates, short repayment period, limited amount to borrow etc
   b) On demand side, individuals may quite financial institutions and resort to use of cash. *Have you heard people say "usitume kwa hii, iko na fuliza"?*
2. Social exclusion:

   Individuals are likely to be shunned ways by their friends if they are excessively indebted. This causes stress and loanliness.

Overcoming over-indebtedness

1. Preventive method

   - seeks to influence behaviour on both the demand side (that is responsible borrowing) and on the supply side (that is responsible lending)

   a. Responsible borrowing measures mainly consist of:
      - ❑ financial education and
      - ❑ debt counselling services e.g. Penalties for late or non payment - if made clear before entering the credit market

   b. Responsible lending includes a raft of measures such as:
      - ❑ mandatory disclosure and transparency requirements on the part of financial intermediaries regarding the terms and conditions of loans
      - ❑ appropriate scoring procedures of the applicant's creditworthiness and total level of exposure
      - ❑ flexible approach to early warning signs of indebted households in difficulty
      - ❑ the fixing within certain limits of interest rate ceilings on lending to customers

2. Curative method

   a. debt management and restructuring schemes in the form of debt settlement procedures, which in some cases offer the possibility of cancelling part of the debt.

   b. penalties that vary in amount and method of application in the case of late payment, default or other contractual breaches

Dangers of debt defaulting

Default risk is the likelihood that a borrower may not honour the debt obligation either in part or wholly.

The following may happen if you do not pay the loan:

1. In case of secured loans: the lender can seize the asset used as collateral
2. For unsecured loan: the lender may sue the borrower
3. Cost of borrowing increases: roll over fees for short term loan, and more interests or long term loans
4. Debt balloons: the more interest rates on defaulted loan increase the loan amount
5. Capacity to borrow diminishes: listing in the CRB means one is locked and very few avenues are available for borrowing
6. Lost job opportunities: for such jobs that require clearance by CRB
7. Retirement savings dries: incases where such savings are used as collateral

Debt to income ratio (DIR)

Add all your monthly debt payments and divide them by your monthly gross income (not just your take-home pay) to get your debt-to-income ratio. For instance, if you have a Sh30,000 monthly mortgage, Sh5,000 car payment and pay Sh5,000 a month for credit cards and other bills, your monthly debt is Sh.40,000.

If your gross monthly income is Sh.75,000, it means your debt-to-income ratio is 53.33% which is computed as follows:

$$\textit{Debt to income ratio} = \frac{Total\ monthly\ debts}{Total\ monthly\ Gross\ Income} = \frac{40{,}000}{75{,}000} * 100 = 53.33\%$$

The above debt to income ratio means you will have sleepless nights.

Anything over a 43% debt-to-income ratio is a red flag to potential lenders. Evidence suggests that borrowers with a higher ratio are more likely to have problems making monthly payments. In most cases, you can't get a mortgage if your ratio is above 43%.

However, most lenders like SACCOs & Banks in Kenya look at the a-third-rule of basic salary such that regardless of your DIR, you'll still secure a loan if your net pay comply with the a-third-rule

Definition of debt management

Debt management is the process of establishing and executing a strategy to dealing with debt liability in terms of risks and repayment in time in order to maintain sound financial health.

Debt management therefore involves understanding the nature of the debt, monitoring existing debts, budgeting and making informed borrowing decisions, planning for future borrowing, devising repayment strategies, negotiating with creditors, monitoring debt levels, and managing repayments effectively.

Debt management requires that a loan cannot be paid by another loan.

Advantages of effective debt management

Advantage	Explanation	Advantage to yourself	Advantage to your business
Financial flexibility	Debt management (DM) strategies enable the restructuring of debt terms and obligations, such as extending loan duration or reducing monthly payment amounts	By lowering debt levels and maintaining financial health, debt management equips individuals to better navigate economic turbulence, and economic disruptions, ultimately mitigating risks.	Align loan to cash flows. This improved cash flow management ensures the availability of funds for daily operations and other essential expenses that are needed when running a business.
Enhance credit worthiness	DM facilitates consistent and timely payments, effective debt management helps build a positive credit score	An individual is likely to qualify for higher loan which can be utilized when circumstances necessitates Also opens several avenues for loans	A higher credit score enhances the probability of a business securing loans and trade credit, gaining the advantage to negotiate reduced interest rates.
Investment opportunities	Effective debt management and higher credit score earns trust from lenders	An individual will easily qualify for loan to invest in arising opportunities	This trust fosters improved relationships and opportunities, enabling easier access to capital for investments into market expansion, research, and acquisitions.
Strategic resource allocation	Reduced debt burdens and favourable repayment structures	Enables individuals to save more towards meeting financial goals like asset emergency funds	Directing funds towards value-creating activities like innovation, asset allocation, and marketing efforts

Risks of neglecting debt management

Advantage	Explanation	Disadvantage to yourself	Disadvantage to your business
Inefficiencies	Neglecting debt management can lead to cash flow issues, significantly impacting daily operations.	Little or no money to spend on basic needs, save for financial goals thus leading to taking another loan for these items	Without a proper strategy, businesses facing unpredictable cash flow and cash shortages find it challenging to cover essential expenses like payroll, inventory, and utilities
Diluted credit worthiness	Neglecting debt management escalates defaults and even bankruptcies	Inability to borrow loans when listed with credit reference bureau (CRB). This may also lock one out of job opportunities	Tarnishes business reputations among lenders. Such negative perceptions can limit business opportunities and growth potential, further compounding financial difficulties.
Legal implications	Payment delinquencies and defaults will likely prompt creditors to take legal action	Auctioneers are likely to seize all personal property	Business assets may be seized leading to business closer or liquidations

Strategies for effective debt management

- **Embracing technology** – use Apps or systems to automatically track debt, schedule payments and reminders to avoid late payments.
- **Restructuring of debts** – during financial difficulties like pandemics, inflations, economic recessions; it is necessary to renegotiate the loans or converting debt to equity through the guidance of financial experts
- **Improve cash flows** – diversify income streams. For individuals, start side hustles. For businesses explore new markets, introducing innovative products or services, forming strategic partnerships, and expanding customer segments to create multiple income sources.
- **Understand the debts** – their terms and penalties for late payments
- **Prioritize debts** - High-interest, time-sensitive, and secured debts need to have higher priority as they pose a greater risk.
- **Honest communication with lenders** – raise alarm if default is anticipated
- **Increase repayment frequency** – pay fortnightly instead of monthly – hustler
- **Increase the repayment amount** – pay as much to reduce the cost of borrowing
- **Take advantage of debt waivers** – pay your debt fast during penalty forgiveness

Conclusion

- Before taking a loan, plan in advance how you will pay back the loan and the interest payments and other charges and fees
- If you borrow money, plan carefully how you will use your loan and how you will pay it back – and stick to your plans. Always use borrowed money for the purpose you borrowed it.
- Avoid borrowing to pay off another debt.
- To pay back your loan, you have to make the money work. Borrow for productive investments such as buying a piece of land where you can grow something or increasing your business. Pay back the loan and borrow more later if it is necessary.
- Think twice before borrowing for luxuries, or things that lose value
- Try to limit your borrowing for personal consumption.
- Debt management strategy is taking only as much as you can afford

Assignment

Come up with a SMART financial plan, detailing how you will service your HELB loan amid financial difficulties in the first year after graduation before you get an employment of your dream job.

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